Cambridge International AS & A Level

★ PREDICTED PAPER — FOR REVISION USE ★

ECONOMICS

9708/02H

Paper 2 AS Level Data Response and Essays

Practice Series 2026

Difficulty: Hard

2 hours

You must answer on the enclosed answer booklet.

You will need: Answer booklet (enclosed)

INSTRUCTIONS

- Answer three questions in total:
  Section A: answer Question 1.
  Section B: answer one question.
  Section C: answer one question.
- Follow the instructions on the front cover of the answer booklet. If you need additional answer paper, ask the invigilator for a continuation booklet.
- You may use a calculator.
- You may answer with reference to any economy you have studied where relevant to the question.

INFORMATION

- The total mark for this paper is 60.
- The number of marks for each question or part question is shown in brackets [ ].

This document has 4 pages.

Section A

Answer all parts of question 1.

1 Germany's energy crisis and the green transition

Germany, Europe's largest economy, has faced a severe energy crisis since 2022. Before the crisis, Germany imported around 55% of its natural gas from Russia, making it heavily dependent on a single supplier. Following the disruption of these supply chains, wholesale natural gas prices in Germany rose by more than 400% between January 2021 and August 2022, before easing in 2023. Several energy-intensive firms in sectors such as chemicals, steel and glass announced temporary plant closures or relocations abroad.

In response, the German government introduced a €200 billion 'economic defence shield' including a gas price cap for households and industry, subsidies for energy-saving investment, and accelerated permits for renewable energy projects. The government also pursued a policy of diversifying gas supplies via new liquefied natural gas (LNG) terminals. At the same time, the European Central Bank (ECB) raised its main refinancing rate from 0.00% in July 2022 to 4.50% by September 2023, to combat inflation across the Eurozone, which had reached a peak of 10.6% in October 2022. Some commentators warned that high energy costs, combined with tighter monetary policy, risked tipping Germany into a prolonged recession and damaging its industrial base.

Table 1.1 Germany — selected macroeconomic indicators

Indicator	2021	2022	2023
Real GDP growth (%)	3.1	1.8	–0.3
HICP inflation (%)	3.2	8.7	6.0
Unemployment rate (%)	3.6	3.1	3.1
Current account balance (% of GDP)	7.6	4.2	6.2
Industrial production (index, 2015=100)	100.5	97.3	94.1

Source: adapted from Eurostat, Bundesbank, 2024

(a) (i) Using Table 1.1, calculate the percentage point change in Germany's real GDP growth between 2021 and 2023. [1]

(ii) Compare the trend in Germany's unemployment rate with the trend in industrial production between 2021 and 2023. [1]

(b) Explain two likely impacts of a 400% rise in wholesale gas prices on energy-intensive German firms. [2]

(c) Consider whether a gas price cap is an effective microeconomic policy to protect German households and firms from high energy prices. [4]

(d) Assess the extent to which a simultaneous rise in ECB interest rates and a fall in industrial production can be explained by a negative supply-side shock rather than tighter monetary policy. [6]

(e) Assess whether subsidies for renewable energy are a more effective long-term response to energy insecurity than building new LNG import terminals. [6]

Section B

Answer one question.

EITHER

2 (a) Explain, with examples, how negative externalities of consumption and negative externalities of production differ, and consider why they can both lead to market failure in a free market economy. [8]

(b) The European Union's Emissions Trading System (EU ETS) allows firms to buy and sell permits to emit carbon dioxide. Assess whether a tradable permits scheme is a more effective policy than a carbon tax in reducing negative externalities. [12]

OR

3 (a) With the help of a diagram, explain the difference between a shift in the supply curve for labour and a movement along the supply curve for labour, and consider the factors that may cause a shift in the supply of labour for a particular occupation. [8]

(b) Assess the extent to which a rise in the statutory minimum wage will always lead to a fall in employment in a developed economy such as the UK. [12]

Section C

Answer one question.

EITHER

4 (a) Using an AD/AS diagram, explain how a simultaneous rise in oil prices and a fall in consumer confidence in the EU might affect real GDP and the price level, and consider which effect is likely to be greater. [8]

(b) Assess the extent to which a central bank faces a trade-off between reducing inflation and avoiding a rise in unemployment. [12]

OR

5 (a) Explain the difference between the current account and the financial account of the balance of payments, and consider how a persistent current account deficit might be financed. [8]

(b) In 2018 the United States imposed tariffs on imports from China to reduce its current account deficit. Assess the extent to which protectionist policies are an effective way to correct a persistent current account deficit. [12]